Approaches to Staffing

Unit 1 · 1.3.4.1 Managing people

Staff as an asset vs staff as a cost

- **Soft HRM — staff as an asset.** Workers are a valuable resource; the firm invests in training, pay, promotion and involvement to raise motivation and productivity.
- **Hard HRM — staff as a cost.** Workers are managed tightly to control costs and output; pay is low and security limited.

Charles Handy argued firms split staff into a **core** (well looked after) and a **peripheral** group (casual, few rights). **Sports Direct** does this: ~2,000 core staff on share options, ~25,000 on zero-hour contracts, many outsourced to cut legal obligations.

The flexible workforce & contracts

- **Zero-hour contracts** — no guaranteed hours, paid only when needed. Flexibility and low fixed costs for the firm, uncertain income for the worker (~2.3% of UK workers by 2014).
- **Part-time, temporary and outsourced** labour — cut fixed wage costs and legal obligations.

Dismissal ends employment for conduct or performance; **redundancy** ends a role that is no longer needed (usually with a redundancy payment). UAE note: end-of-service gratuity and notice rules differ from UK statutory redundancy pay.